

Sanmina fraudulently concealed the following material facts from Gemayel (collectively, “Concealed Material Facts”) that: a. Elexsys was actually one and the same as Diceon. b. Sanmina had acquired Diceon the year before. c. Diceon was known as a polluter, a fact that Sanmina found out during its acquisition of Elexsys/Diceon. d. Diceon had previously been cited by the South Coast Air Quality Management District (SCAQMD) for environmental violations. e. Diceon had contaminated the Subject Property, including with the solvent 1,1,1-TCA (“TCA”). f. The Subject Property was far more contaminated than what was disclosed by Sanmina and groundwater beneath the property was part of a co-mingled plume generally migrating to the southeast beneath the Subject Property. g. Although the parties agreed to discount the Subject Property’s purchase price, the amount was greatly disproportionate to what it would actually cost in environmental response actions at the Subject Property. h. Sanmina was a “responsible party” under various federal and California environmental laws for causing and contributing to disposals and releases of hazardous substances at the Subject Site which impacted soil and groundwater. (CC, ¶ 12).

In 2008, the Orange County Water District (“OCWD”) filed a lawsuit against Sanmina and others styled Orange County Water District v. Sabic Innovative Plastics US, LLC, OCSC Case No. 30-2008-00078246 (“Sabic” case). In 2023, OCWD filed a second action, styled Orange County Water District v. Sabic Innovative Plastics US, LLC, OCSC Case No. 30-2023-01363985 (“Sanmina” case). Both cases sought cost recovery and damages related to an alleged co-mingled groundwater plume in the South Basin of Orange County. (CC, ¶ 14).

In April 2023 the Court issued a 131-page Statement of Decision (“SOD”) finding, among other things, that Sanmina was liable to OCWD for \$119,135 under California’s Hazardous Substance Account Act (“HSAA”) and liable for over \$1.1 million under the Orange County Water District Act (“OCWD Act”). While no attorneys’ fees are available under the HSAA, liability under the OCWD Act subjected Sanmina to millions of dollars in OCWD attorneys’ fees. (CC, ¶ 16).

Sanmina had knowledge and access to the Concealed Material Facts including that Sanmina caused and contributed to TCA disposals and releases into the subsurface and groundwater at and around the Subject Property. Each such fact was not known or reasonably discoverable by Gemayel, and thus Sanmina owed Gemayel a duty to disclose each fact. Sanmina intended to deceive Gemayel by hiding the Concealed Material Facts. (CC, ¶ 23).